Wapic Insurance Plc.

RC. No 1647

SUMMARY OF AUDITED GROUP ACCOUNTS FOR THE YEAR ENDED 31 DECEMBER 2017

The directors present the abridged/summary financial statements of Wapic Insurance Plc (the "Company") and its subsidiaries (together "the Group") for the year ended 31 December 2017. The summary financial statements disclosed were derived from the full financial statements of the company and group for the year ended 31 December 2017 and cannot be expected to provide a full understanding of the financial performance, financial position and cash flows of the company and the group. The company's auditor issued an unqualified opinion on the full financial statements for the year ended 31 December 2017 from which these summary financial statements were derived.

The company's auditor made a report under section 359 of the Companies and Allied Matters Act and section 28(2) of the Insurance Act 2003. The full financial statements from which these summary financial statements were derived would be delivered to the Corporate Affairs Commission. Copies of the full financial statements can be obtained from the secretary of the company. An electronic copy of the full financial statements can be obtained at www.wapic.com.

CONSOLIDATED STATEMENTS OF FINANCIAL POSITION AS AT 31 DECEMBER 2017

	GROUP		COMPANY	
	2017 31- Dec ₦'000	2016 31- Dec ₦'000	2017 31- Dec ₦'000	2016 31- Dec ₦'000
ASSETS				
Cash and cash equivalents	1,745,342	2,220,395	911,023	311,223
Financial assets	9,495,935	7,401,489	4,356,929	3,429,338
Trade receivables	707,489	553,575	486,997	553,574
Reinsurance assets	1,586,301	1,572,830	838,139	1,094,415
Deferred acquisition cost	530,793	447,934	317,832	281,344
Other receivables and prepayments	1,061,531	1,145,019	871,238	1,137,047
Investment property	312,750	539,930	312,750	539,930
Investment in associates	8,264,440	7,173,843	5,059,810	5,059,810
Investment in subsidiaries	-	-	3,876,571	3,876,571
Intangible assets	479,685	203,896	476,144	199,171
Property and equipment	3,787,381	4,025,510	3,521,507	3,811,639
Statutory deposit	632,964	617,632	300,000	300,000
TOTAL ASSETS	28,604,611	25,902,053	21,328,940	20,594,062
LIABILITIES				
Insurance contract liabilities	7,141,465	6,373,682	3,817,332	3,763,964
Investment contract liabilities	1,063,860	920,154	-	-
Trade payables	516,371	235,800	415,414	157,870
Other payables	1,458,750	1,320,043	1,417,790	1,157,450
Current income tax liabilities	263,793	208,382	115,315	88,114
Deferred tax liabilities	202,547	277,657	202,548	393,175
TOTAL LIABILITIES	10,646,786	9,335,718	5,968,399	5,560,573
EQUITY				
Equity attributable to owners:				
Share capital	6,691,369	6,691,369	6,691,369	6,691,369
Share premium	6,194,983	6,194,983	6,194,983	6,194,983
Contingency reserves	2,061,153	1,807,949	1,742,067	1,550,425
Other reserves	941,704	1,209,743	671,027	788,338
Retained earnings	2,068,616	862,291	61,095	(191,626)
TOTAL EQUITY	17,957,825	16,566,335	15,360,541	15,033,489
Total equity attributable to the owners of the parent	17,957,824	16,566,335	15,350,541	15,033,489
TOTAL EQUITY	17,957,824	16,566,335	15,360,541	15,033,489
Liabilities and equity	28,604,611	25,902,053	21,328,940	20,594,062

The financial statements were approved by the Board of Directors on 29 January 2018 and signed on its behalf by:

Adeyinka Adekoya
Managing Director
FRC/2016/CIIN/00000013893

Bode Ojeniyi
Executive Director
FRC/2016/CIBN/00000013894

Oluseyi Taiwo
Chief Finance Officer
FRC/2013/ICAN/00000004011

CONSOLIDATED STATEMENTS OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME FOR THE YEAR ENDED 31 DEC 2017

	GROUP		COMPANY	
	2017 31- Dec ₦'000	2016 31- Dec ₦'000	2017 31- Dec ₦'000	2016 31- Dec ₦'000
Gross premium written	9,807,616	8,005,308	[illegible]	5,375,431
Gross premium income	9,589,128	7,586,131	6,494,411	5,249,208
Reinsurance expenses	(3,937,089)	(3,294,791)	(2,742,273)	(2,576,266)
Net premium income	5,652,039	4,291,340	3,752,138	2,672,942
Fee and commission income	682,888	651,992	471,328	497,408
Net underwriting income	6,334,927	4,943,332	4,233,466	3,170,350
Claims expenses	3,820,558	3,843,297	1,764,096	1,785,827
Claims expenses recoverable	(758,848)	(974,672)	(81,745)	(552,518)
Net claims expenses	3,061,710	2,868,625	1,682,351	1,233,309
Underwriting expenses	1,757,567	1,680,773	1,342,708	1,359,079
Increase in individual life fund	(20,487)	13,257	-	-
Total underwriting expenses	4,798,790	4,562,655	3,025,059	2,592,388
Underwriting profit	1,536,136	380,677	1,198,406	577,962
Investment income	1,255,961	1,018,308	621,263	741,965
Profit on investment contracts	96,108	351,495	-	-
Net realised gain/(loss) on financial assets	614,534	33,713	614,534	33,713
Net fair value loss on assets at fair value through profit or loss	(663)	(254)	(1,549)	(254)
Other operating income	1,164,532	2,333,873	980,556	2,029,102
	3,130,472	3,737,135	2,214,804	2,804,526
Net income	4,666,608	4,117,812	3,413,210	3,382,488
(Impairment reversal)/impairment on trade receivables	-	(12,782)	-	7,370
(Impairment reversal)/impairment on reinsurance assets	38,333	154,630	54,028	(3,095)
Employee benefit expense	1,481,332	1,309,821	923,382	825,209
Other operating expenses	2,912,450	2,698,571	2,205,175	2,038,451
Expenses	4,432,115	4,150,240	3,182,585	2,867,934
Operating (loss)/profit	234,493	(32,428)	230,625	514,554
Share of profit of associate	1,388,198	1,225,874	-	-
Profit before income tax	1,622,691	1,193,446	230,625	514,554
Income tax	(91,881)	(607,423)	85,019	(422,581)
Profit after tax for the year	1,530,810	586,023	315,644	91,973
Other comprehensive income, net of tax				
Items that are or may be reclassified to profit or loss:				
Foreign currency translation difference of foreign operations	(27,610)	459,766	-	-
Net changes in fair value of AFS financial instruments:				
- Unrealised net gains/(losses) arising during the period	(7,292)	50,879	11,408	104,722
- Net reclassification adjustments for realised net gains	(128,719)	-	(128,719)	-
'Share of other comprehensive income of associates	(104,418)	244,258	-	-
Items that are or may be reclassified to profit or loss:				
Revaluation gain on property and equipment	-	949,415	-	949,415
Deferred tax on revaluation gain on property and equipment	-	(284,824)	-	(284,824)
Other comprehensive income/(loss) for the year, net of tax	(268,039)	1,419,494	(117,311)	769,313
Total comprehensive income for the year	1,262,771	2,005,517	198,333	861,286
Profit attributable to the owners of the Company	1,530,810	586,023	315,644	91,974
Total comprehensive income attributable to the owners of the Company	1,262,771	2,005,517	198,333	861,286
KEY FINANCIAL INFORMATION				
Basic and diluted earnings per share (kobo)	11	4	2	1

REPORT OF THE INDEPENDENT AUDITOR ON THE SUMMARY FINANCIAL STATEMENTS TO THE MEMBERS OF WAPIC INSURANCE PLC

Report on the summary consolidated and separate financial statements

Opinion

The summary consolidated and separate financial statements (the "summary financial statements"), which comprise the summary consolidated and separate statements of financial position as at 31 December 2017 and the summary consolidated and separate statements of profit or loss and other comprehensive income for the year then ended are derived from the audited consolidated and separate financial statements (the "audited financial statements") of Wapic Insurance Plc ("the Company") and its subsidiary companies (together the "Group") for the year ended 31 December 2017.

In our opinion, the accompanying summary financial statements are consistent in all material respects, with the audited financial statements, in accordance with the requirements of the Companies and Allied Matters Act, the Nigerian Insurance Act and the Financial Reporting Council of Nigeria Act.

Summary Financial Statements

The summary financial statements do not contain all the disclosures required by the International Financial Reporting Standards, the Companies and Allied Matters Act, the Financial Reporting Council of Nigeria Act, the Nigerian Insurance Act and other relevant National Insurance Commission of Nigeria guidelines and circulars applied in the preparation of the audited financial statements of the Company and the Group. Therefore, reading the summary financial statements and the auditor's report thereon, is not a substitute for reading the audited financial statements and the auditor's report thereon.

The Audited Financial Statements and Our Report Thereon

We expressed an unmodified audit opinion on the audited financial statements in our report dated 26 March 2018. That report also includes the communication of key audit matters. Key audit matters are those matters that, in our professional judgement, were of most significance in our audit of the financial statements of the current period.

Directors' Responsibility For The Summary Financial Statements

The directors are responsible for the preparation of the summary financial statements in accordance with the requirements of the Companies and Allied Matters Act, the Nigerian Insurance Act and the Financial Reporting Council of Nigeria Act.

Auditor's Responsibility

Our responsibility is to express an opinion on whether the summary financial statements are consistent , in all material respects, with the audited financial statements based on our procedures, which were conducted in accordance with International Standard on Auditing (ISA) 810 (Revised),'Engagements to Report on Summary Financial Statements'

Report On Other Legal And Regulatory Requirements

In accordance with our full audit report, we confirm that we did not report any exceptions under the sixth schedule of the Companies and Allied Matters Act and the Nigerian Insurance Act.

For: PricewaterhouseCoopers
Chartered Accountants
Lagos, Nigeria
Engagement Partner: Anthony Oputa
FRC /2013/ICAN/00000000980"

26 March 2018

Wapic Life Assurance Ltd. RC. No 675456

SUMMARY OF AUDITED ACCOUNTS FOR THE YEAR ENDED 31 DECEMBER 2017

The Directors present the abridged/summary financial statements of Wapic Life Assurance Limited (the "company") for the year ended 31 December 2017. The summary financial statements disclosed were derived from the full financial statements of the company for the year ended 31December 2017 and cannot be expected to provide a full understanding of the financial performance, financial position and cash flows of the company.The company's Auditor issued an unqualified opinion on the full financial statements for the year ended 31 December 2017 from which these summary financial statements were derived. The company's auditor made a report under section 359 of the Companies and Allied Matters Act. The full Financial statements from which these summary financial statements were derived would be delivered to the Corporate Affairs Commission. Copies of the full financial statements can be obtained from the Secretary of the company.

STATEMENTS OF FINANCIAL POSITION AS AT 31 DECEMBER 2017

	Company	
	2017 ₦'000	2016 ₦'000
ASSETS		
Cash and cash equivalents	502,949	805,251
Financial assets	4,102,874	3,629,599
Trade receivables	220,490	-
Other recievables and prepayments	499,340	103,848
Reinsurance assets	273,383	69,143
Deferred acquisition cost	143,852	98,592
Investment properties	-	-
Property and equipment	155,374	33,243
Intangible assets	46	70
Deferred tax assets	-	115,519
Statutory deposit	200,000	200,000
Total assets	6,098,308	5,055,265
LIABILITIES		
Insurance contract liabilities	2,250,873	1,584,187
Investment contract liabilities	1,063,860	920,154
Trade payables	16,834	18,553
Other payables	179,452	138,684
Current income tax liabilities	148,478	120,268
Total Liabilities	3,659,497	2,781,746
EQUITY		
Equity attributable to owners:		
Share capital	2,700,000	2,700,000
Contingency reserves	142,944	122,432
Other reserves - fair value reserves	(82,690)	(65,067)
Accumulated losses	(321,442)	(483,846)
Total equity	2,438,811	2,273,519
Liabilities and equity	6,098,308	5,055,265

The financial statements were approved by the Board of Directors on 29 January 2018 and signed on its behalf by:

Aigboje Aig-Imoukhuede, CON
Chairman
FRC/2013/CIBN/00000001999

Ogunleye Rantimi Babapelumi
Managing Director
FRC/2012/CIIN/00000000526

Toyin Azeez
Chief Finance Officer
FRC/2013/ICAN/00000004008

STATEMENTS OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME FOR THE YEAR ENDED 31 DECEMBER 2017

	Company	
	2017 ₦'000	2016 ₦'000
Gross premium written	2,051,246	1,455,472
Gross premium income	1,712,521	1,239,949
Reinsurance expenses	(615,792)	(312,372)
Net premium income	1,096,729	927,577
Fee and commission income	85,279	49,213
Net underwriting income	1,182,008	976,790
Claims expenses	1,261,464	1,081,222
Claims expenses recoverable	(322,910)	(4,364)
Net insurance benefits and claims	938,554	1,076,858
Underwriting expenses	193,761	144,885
Increase in individual life fund	(20,487)	13,257
Total underwriting expenses	1,111,828	1,235,000
Underwriting (loss)/profit	70,180	(258,210)
Investment income	882,392	346,954
Profit on investment contracts	96,108	351,495
Net realised loss on financial assets	-	-
Net fair value (loss)/gain on assets at fair value through profit or loss	486	-
Other operating income	89,917	125,299
	868,903	823,757
Net income	939,083	565,547
(Write-back)/Impairment on trade receivables	-	(20,152)
Impairment of other receivables and prepayments	(15,584)	157,725
Write-back of impairment on reinsurance assets	-	-
Management expenses	594,850	486,395
Expenses	579,266	623,968
(Loss)/profit before tax	359,817	(58,421)
Income tax	(176,902)	(156,533)
Profit after tax	182,916	(214,954)
Other comprehensive income, net of tax		
Items that will not be reclassified to profit or loss:		
Net changes in fair value of AFS financial instruments	(17,623)	(65,067)
Other comprehensive loss for the year, net of tax	(17,623)	(65,067)
Total comprehensive (loss)/income for the year	165,293	(280,021)
(Loss)/profit attributable to owners of the Company	182,916	(214,954)
Total comprehensive (loss)/income attributable to owners of the Company	165,293	(280,021)
KEY FINANCIAL INFORMATION		
Basic and diluted (loss)/earnings per share (kobo)	7	(8)

REPORT OF THE INDEPENDENT AUDITOR ON THE SUMMARY FINANCIAL STATEMENTS TO THE MEMBERS OF WAPIC LIFE ASSURANCE LIMITED

Report on the summary financial statements

Opinion

The summary financial statements, which comprise the summary statement of financial position as at 31 December 2017 and the summary statement of profit or loss and other comprehensive income for the year then ended are derived from the audited financial statements of Wapic Life Assurance Limited ("the Company") for the year ended 31 December 2017.

In our opinion, the accompanying summary financial statements are consistent in all material respects, with the audited financial statements, in accordance with the requirements of the Companies and Allied Matters Act, the Nigerian Insurance Act and the Financial Reporting Council of Nigeria Act.

Summary Financial Statements

The summary financial statements do not contain all the disclosures required by the International Financial Reporting Standards, the Companies and Allied Matters Act, the Financial Reporting Council of Nigeria Act, the Nigerian Insurance Act and other relevant National Insurance Commission of Nigeria guidelines and circulars applied in the preparation of the audited financial statements of the Company. Therefore, reading the summary financial statements and the auditor's report thereon, is not a substitute for reading the audited financial statements and the auditor's report thereon.

The Audited Financial Statements and Our Report Thereon

We expressed an unmodified audit opinion on the audited financial statements in our report dated March 26, 2018.

Directors' Responsibility for the Summary Financial Statements

The directors are responsible for the preparation of the summary financial statements in accordance with the requirements of the Companies and Allied Matters Act, the Nigerian Insurance Act and the Financial Reporting Council of Nigeria Act.

Auditor's Responsibility

Our responsibility is to express an opinion on whether the summary financial statements are consistent , in all material respects, with the audited financial statements based on our procedures, which were conducted in accordance with International Standard on Auditing (ISA) 810 (Revised), 'Engagements to Report on Summary Financial Statements'.

Report on Other Legal and Regulatory Requirements

In accordance with our full audit report, we confirm that we did not report any exceptions under the sixth schedule of the Companies and Allied Matters Act.

For: PricewaterhouseCoopers
Chartered Accountants
Lagos, Nigeria
Engagement Partner: Anthony Oputa
FRC /2013/ICAN/00000000980"

26 March 2018